

THE OTHER HANDSHAKE
Russian president Vladimir Putin with NSA Ajit Doval in St Petersburg, Sept. 12, 2024

American farmers employ for cows—it has in its mix byproducts like blood, meat and bone meal, all of which violate Indian food safety and cultural norms. While India had agreed for concessions on horticultural imports like apples and dry fruits, it drew clear red lines on grain and dairy products. A day after the Trump tariffs came into effect, PM Modi at an agriculture conference in Delhi asserted, "For us, the interests of our farmers are the highest priority. India will never compromise on their interests. I'll personally have to pay a very heavy price for this, but I am ready."

Most experts regard Trump's trade offensive as part of a high-stakes gambit: hustling India into reducing its trade barriers or agreeing to higher US tariffs is also a tangential attack on its import of crude oil from Russia, and choking that flow is a means to get a recalcitrant Russia to agree to a quick end to the Ukraine war. The MEA was only too quick to point out the double standards of Trump's moves, revealing how both the US and Europe till recently had encouraged India to buy Russian oil at prices they had capped, in a bid to reduce the volatility in global oil prices. Also, China was buying over 2 billion barrels a day from Russia, a little more than what India was buying and yet Trump did not force Beijing to cut supply as US manufacturers depend heavily on imports from it.

Experts advise India to keep its cool, avoid counter-tariffs and continue to negotiate while finding alternative markets

HOW TO NAVIGATE THE LATEST TRUMP STORM

So, how should India deal with a Trump on a global rampage? Syed Akbaruddin, India's former Permanent Representative to the UN, points out that Trump pushing India to cut back on oil from Russia was "more tactical than strategic". According to him, "In the past too, trade disputes have resulted in debilitating battles between the US and Europe and even Japan but rarely led to a rupture of ties. India and the US have strategic convergence, including on defence and taking on China, so there is a lot more that binds the two nations together." The best-case scenario for India is for Russia and the US to reach an early deal on Ukraine, which could see India get off the hook. His advice: if it doesn't happen, India should keep its cool, not retaliate with counter-tariffs and continue to negotiate while finding alternative markets.

The Modi government has been clear that India is not going to roll over and yield to the US. The MEA indicated that Modi is likely to attend the August 31 Shanghai Cooperation Organisation (SCO) meeting in Tianjin, his first visit to China since 2018. He is likely to have a bilateral meeting with President Xi Jinping, which should send a strong message to Trump about India's policy of strategic autonomy.

Meanwhile, in the US, there was visible discomfort among experts over Trump's India-bashing. Sumit Ganguly, senior fellow at the Hoover Institute, says, "The US president's current approach to India is short-sighted and counterproductive. It risks undermining all the progress that has been made in US-India relations in the past couple of decades. India shouldn't yield on US demands to open up agriculture; we all know it would be disastrous." Ganguly also points out how India is a potential market for America's high-end weaponry and is certainly not a "dead economy". So, there is a limit to how much Trump can undermine such an important economic and strategic relationship.

Other experts believe that India needs to do some heavy lifting by coming up with an investment package for the US that has a long gestation period. That would give Trump a short-term win, and may induce him to ease the tariffs. The overall expectation is that while Indo-US relations would be bumpy and painful in the short run, with costs to the Indian economy, this also provides India an opportunity to find other trade partners and expand its sphere of influence instead of keeping all its eggs in one basket—the American one. ■